

Introduction to Business – MGT211

Short Notes By VU Nexus

Theme 11

Commercial Geography of Pakistan – Short Notes

1. Introduction to Commercial Geography

Commercial geography studies the **spatial distribution of economic activities** and explains how **location, climate, natural resources, and infrastructure** affect **production, trade, and consumption**.

In Pakistan, it explains:

- Regional industrial specialization
(*e.g., Textiles in Faisalabad, surgical instruments in Sialkot*)
- Importance of ports like **Karachi** and **Gwadar** in trade.

Key Areas of Study

1. **Production Patterns** – Regional resources
(*Rice in Sindh, minerals in Balochistan*)
2. **Industrial Clusters** – Concentration of industries
(*Gujranwala ceramics, Peshawar furniture*)
3. **Trade & Transport** – Roads, ports, CPEC
4. **Globalization** – Trade agreements (GSP+), MNCs

2. Economic Landscape of Pakistan

Natural Resources

- **Agriculture:**
Punjab & Sindh → wheat, cotton, sugarcane
- **Minerals:**
Balochistan → coal, copper, gold
KP → hydropower potential

Major Industrial Regions

- **Karachi:** Financial capital, ports, diversified industries
- **Faisalabad:** Textile hub (“Manchester of Pakistan”)
- **Sialkot:** Sports goods & surgical instruments
- **Gujranwala:** Engineering and ceramics

3. Transport and Trade Infrastructure

- **Ports:**
 - Karachi Port → 60% of cargo
 - Port Qasim → energy imports
 - Gwadar Port → CPEC gateway to Central Asia
- **CPEC (China-Pakistan Economic Corridor):**
 - Roads, highways, and **Special Economic Zones (SEZs)**
- **Dry Ports:**
 - Sialkot Dry Port → built by private exporters

4. Key Industrial Clusters

1. Sialkot Surgical Instruments Cluster

- British-era origin
- Exports: **\$400 million annually**
- 95% of Pakistan’s surgical exports
- ISO-certified SMEs
- Challenges: Low-value OEM production, competition from China & Germany

2. Sialkot Sports Goods Cluster

- Produces **FIFA World Cup footballs**
- Employs **100,000+ workers**

- Uses thermal bonding technology
- Developed private infrastructure (Sialkot Airport)

3. Wazirabad Cutlery Cluster

- Handcrafted knives and utensils
- 90% export-oriented
- Challenges: Outdated machinery, weak branding

4. Faisalabad Textile Cluster

- Integrated value chain: spinning → weaving → garments
- Major contributor to textile exports
- Target: **\$25 billion textile exports**

5. Hyderabad Cluster

- Glass bangles and Ajrak textiles
- Agro-processing: mustard & sesame oil mills

6. Chiniot Furniture Cluster

- Mughal-era wood carving
- Supplies luxury markets in Pakistan, UAE, and USA

5. Regional Economic Contributions

- **Punjab:** Agriculture, textiles, SMEs
- **Sindh:** Ports, finance, Karachi industries, cultural crafts
- **Khyber Pakhtunkhwa (KP):** Hydropower, tourism, Afghanistan trade
- **Balochistan:** Minerals, fisheries, Gwadar Port (CPEC)
- **Gilgit-Baltistan:** Tourism, gemstones, Khunjerab Pass trade

6. Challenges and Opportunities

Challenges

- Infrastructure gaps (power shortages, old machinery)
- Global competition (China, Germany)
- Policy issues (bureaucracy, tax inefficiencies, low R&D)

Opportunities

- **CPEC:** Regional trade hub via Gwadar
- **E-Commerce:** Global access for SMEs
- **Sustainability:** Hydropower (KP), solar energy (Balochistan)

7. Conclusion

Pakistan's commercial geography highlights **regional specialization, industrial clusters, and infrastructure development**. Projects like **CPEC** and digital platforms offer future growth, while overcoming policy and technology gaps is essential for global competitiveness.

Key Takeaways

- Geography shapes industrial specialization and trade routes.
- Industrial clusters grow due to local skills and infrastructure.
- CPEC and SEZs are crucial for exports and regional integration.
- Innovation and sustainability ensure global competitiveness.

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